Business Law in Canada

# Chapter 5
# Negligence



# Concept Review: Intentional Torts

- Vicarious liability
  - A form of strict liability—or liability without fault --Imposed on employers when they are held liable for torts committed by employees during the course of their employment
- Defamation -- Slander and libel
  - Four defenses to defamation
- Injurious falsehood
- Passing off
- Inducing breach of contract
- Trespass
- Strict liability
- Nuisance
- Assault

# Negligence

- Inadvertent, careless conduct that causes injury to another
- For professionals it is an important area of tort liability



# Negligence "A,B,C,D" 4 Essential Elements

- To prove Negligence must show:

- A: A duty of care is owed to Plaintiff
- B: Breach of the duty of care
- C: Causation – The act caused the injury
- D: Damages – Victim suffered a loss

# Negligence – Element A- “A Duty…”

- A:  A duty of care is owed to Plaintiff




1. We owe a duty to anyone we can reasonably foresee might be harmed by our conduct = (“Reasonable foreseeability test”)
2. Policy considerations may reduce or eliminate duty  -- (*Anns* Case)

See e.g. social host liability in later slides

Table 5.1 Negligence: The Required Ingredients

| Ingredients | What Needs to Be Established | Tests Used |
|---|---|---|
| A | A duty of care is owed to the plaintiff | That the proximity of the parties created an obligation to exercise caution or care<br>1. Foreseeable plaintiff test (reasonable foreseeability test)<br>2. Policy considerations—may negate existence of a duty |
| B | Breach of that duty; breach of the standard of care | That the defendant was not careful enough<br>Reasonable person test |
| C | Causation | 1. That the defendant directly or physically caused the injury; and<br>2. That the injury was reasonably |

# To whom does this school bus driver owe a duty ? Hint: Use the "reasonable foreseeability" test to find out….





To those people who he "should have reasonably foreseen" could be injured if he breached his duty

# Negligence – Element B –“Breach of duty..”

- B: Breach of duty of care….. We need to compare conduct to that of a reasonable person



B. If a *reasonably prudent person* would **not** engage in the conduct at issue, then defendant **has indeed breached** the duty if the defendant does engage in that conduct. E.g. run a red light….

What would a reasonably prudent, careful person, in possession of all the facts of the case, have done in this situation?

Reasonable care, not perfection, is required
– Reasonable conduct varies with circumstances

- It varies with the expertise of the person being sued – do they have special skills, like a doctor or an accountant?
- - What would the reasonable doctor in the same situation do?
- - What would the reasonable accountant, knowing all of the facts, do in the same situation?

# Negligence – Elements "C & D"

- C: Causation – The careless act of the defendant caused the injury to the plaintiff
- D: Damages – Victim suffered a loss

- Hint: Use the "But For" test
- "but for the careless conduct of the defendant the injury **would not** have occurred…"
- There are 'links in the chain of causation'



# Fine Tuning the Duty of Care – Hint: Use the “Anns Test” From the Case-law…

- Two steps make sure judges can fine tune the duty of care

    1. does the Defendant owe a duty of care to the plaintiff?

        Asked another way: is it reasonably foreseeable that the negligent act would injure that particular plaintiff?

    2. assume the answer is “yes” so a duty of care is owed… then ask a second question:

        Is there some social, policy reason (that the judge can think of) why the defendant should not be held liable?

# The “Thin Skull” Rule – you take your victim as you find them….

- So you are liable for the full extent of the damage you cause, even if your plaintiff was uniquely, unusually vulnerable, so that the damage they suffer was much worse than for most people.
- So if you negligently hit someone on the head who you don’t know has a skull as fragile as an eggshell, you are responsible for the severity of his actual injuries or even his death as a result of your negligent act and his thin skull.
- - remember the thickness of the average human skull is three pennies stacked up.
- - but not every plaintiff who is injured is so robust.
- - you must pay $$$ for all the harm you cause.










# Defences to Negligence…how can I pay less??

- Argue **Contributory negligence**
  - Plaintiff partially responsible for own loss. They contribute their own carelessness…so I shouldn't pay for that part! Plaintiff gets **less $**
- Argue **Volenti**: Voluntarily assuming the risk the risk of injury.
  - A plaintiff who volunteers to enter a situation where the risk of injury is obvious cannot recover damages
  - Your own bad idea…so I shouldn't pay for any of that! Plaintiff gets **zero $**

# Judicial Remedies

- Courts will compensate for:
  - Physical harm
  - Mental disorder, but not simply mental distress
  - Economic loss
- Court attempts to restore victim to original position, they would have been in, if the negligence had not occurred.

# Misfeasance and Nonfeasance

- Misfeasance
  - An act that causes harm to another
  - Court will provide remedy
- Nonfeasance
  - A failure to act to prevent an injury
  - Courts reluctant to provide remedy
  - Special relationships – one has a duty to protect another: parent & child, doctor & patient, employer & employee
- If a person attempts to help there is a duty not to be *grossly negligent*.

# GOOD SAMARITAN ACT OF BC

1. A person who renders emergency medical services or aid

   to an ill, injured or unconscious person,

   at the immediate scene of an accident or emergency that has caused the illness, injury or unconsciousness,

   is not liable for damages for injury to or death of that person caused by the person's act or omission in rendering the medical services or aid….unless that person is grossly negligent.

**2.** Section **1** does **not** apply **if** the person rendering the medical services or aid

(a) is employed expressly for that purpose, or

(b) does so with a view to gain.

# Liability of Children in Tort

- Children are liable for their torts
  - As of a certain age
  - standard is that of a reasonable child of that age

- Parents **not** generally responsible for their children's torts
  - **except** where there is obvious failure to control, instruct or supervise or a statute imposed duty



# Remember (provincial statute; in BC, Occupier's Liability Act)

- An occupier of property (tenant or owner in possession) owes a duty to people who come onto the property as ***visitors*** to keep them **reasonably safe**.
- **Trespassers** committing crimes on property are deemed to be assuming risks
- But occupier still owes duty **not to wilfully** create a **danger** or exhibit reckless disregard for the trespasser's safety
- Child trespassers?

Suppose a child trespasses onto your property and climbs into an old fridge stored in your yard? If he is badly injured then, are you liable?



# Remember Commercial and Social Host Liability




- The courts have found **commercial** establishments liable for injuries sustained by their guests when they have consumed alcohol on their premises.

  Bar & restaurant staff have **positive duty** to see guests do not get injured because of their drinking

Not the same duty for **social hosts**. **Duty is not extended** because of public policy *(Anns Case).* Hosts at home *generally* do not have a duty to the public to prevent injury because of their drunken guests. Insurance for this type of liability is not readily available. (*Childs v Desormeaux*)

# Sam the Social Host (at his office party)

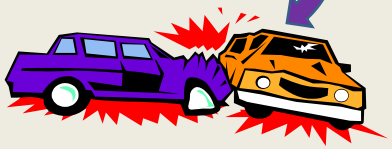
**The host, Sam**



**Sheila and her car**

**Third party not at the party…just driving on her way… (Helen) is badly injured**

**Helen's car**





**Did Sam owe a duty to Helen?**

**Was Helen's injury and the way it occurred reasonably foreseeable to Sam?**

**Yes. But the *Anns* case may limit the range of victims to whom Sam owes a duty. Sam's duty may not extend to every stranger on the same road as Sheila**

**Helen sues Sheila & Sam**

**Is Sam liable? Is Sheila?**

# Product Liability – Negligent Manufacture – a Historical Perspective from the UK

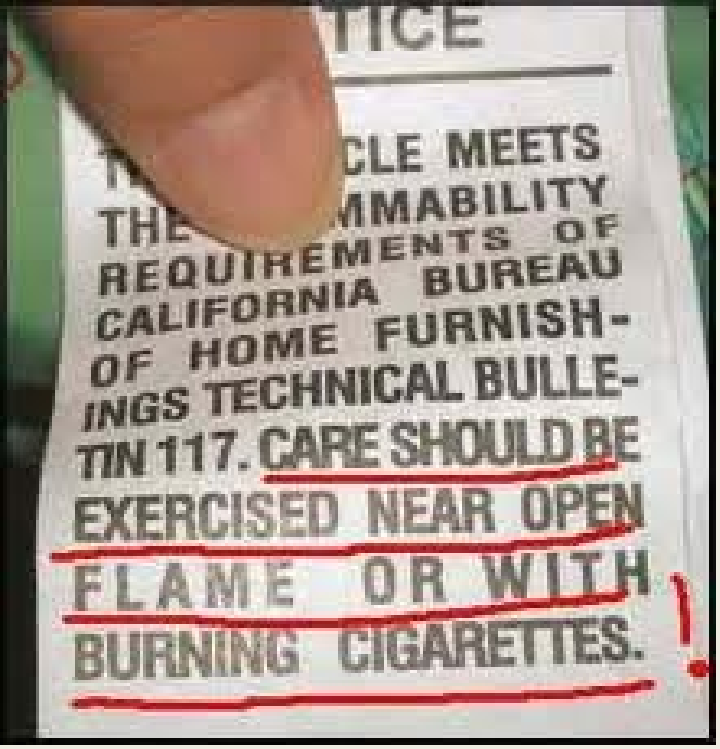
- Donoghue v Stevenson set several precedents in the law of negligence
  - The test to determine the existence of a duty (foreseeability)
  - Privity of contract will not defeat an action for negligence in product liability cases
  - Manufacturer owes a duty of care to customer



# Product Liability – Negligent manufacture

- Manufacturers are liable for injuries caused by defective products
- Plaintiff must establish that the manufacturer was negligent
- Breach of manufacturer's duty can be implied from circumstances (circumstantial evidence)
- Manufacturers have a duty to warn of dangers associated with product




TICE
CLE MEETS
MMABILITY
REQUIREMENTS OF
CALIFORNIA BUREAU
OF HOME FURNISH-
INGS TECHNICAL BULLE-
TIN 117. CARE SHOULD BE
EXERCISED NEAR OPEN
FLAME OR WITH
BURNING CIGARETTES.


WARNING
CHILDREN LEFT
UNATTENDED WILL BE
SOLD TO THE CIRCUS


CAUTION
HANDLE WITH CARE
I'M HOT


AVOID DEATH


DANGER
Do not hold
the wrong end
of a chainsaw

# Strict Liability – Negligence Presumed

- Liability when there is “no fault”
- When a dangerous situation is created by an unusual use of property,
- the owner/occupier is liable for all damages when the danger emerges or escapes
- e.g., water, animals including dangerous dogs



